

25STLC07596 25STLC07596

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Case Number: 25STLC07596 Hearing Date: August 12, 2026 Dept: 26

TENTATIVE RULING:

Defendants

Kings Collision Center, LLC's and Azeez Adams's Demurrer to the First Amended Complaint is sustained without leave to amend.

Defendants are to file and serve a proposed judgment of dismissal within 20 days.

Analysis:

On October 2, 2025, Plaintiff Impound Compliance, LLC ("Plaintiff") filed the Complaint in this action against Defendants Kings Collision Center, LLC ("Defendant Kings Collision") and Azeez Adams ("Defendant Adams"). On March 10, 2026, the Court sustained Defendants' Demurrer to the Complaint with leave to amend. (Minute Order, 03/10/26.)

Defendant filed a Demurrer to the First Amended Complaint on April 20, 2026, which came for hearing on May 14, 2026. The Court continued the hearing on account of the First Amended Complaint not yet being filed, and ordered Plaintiff to file the amended pleading by May 26, 2026. (Minute Order, 05/14/26.) Plaintiff filed the First Amended Complaint on May 22, 2026. At the second hearing on June 11, 2026, the Court took the Demurrer filed on April 20, 2026 off calendar and gave Defendants leave to file a Demurrer to the First Amended Complaint filed on May 22, 2026 within 30 days.

Defendants filed and served the

instant Demurrer to the First Amended Complaint on July 2, 2026. Defendants served Plaintiff with the Demurrer through Attorney Jonathan Easton by first-class and electronic mail on the same day. No opposition has been filed to date.

Discussion

Allegations

in the First Amended Complaint

The First

Amended Complaint alleges causes of action for (1) Contravention of Cal. Veh. Code § 22524 and Cal. Veh. Code § 22658 – Excessive and Presumptively Unreasonable Charges; (2) Contravention of Cal. Veh. Code § 22658 – Refusal to Accept Payment by Bank Debit or Credit Card; (3) Contravention of Cal. Civ. Code § 3070; (4) Conversion; (5) Intentional Misrepresentation; (6) Negligent Misrepresentation; and (8) Unfair Competition in violation of BPC § 17200, based on the following facts.

Plaintiff

is a limited liability company and a division of Odorzx Inc. (“Odorzx”) (FAC,

¶1.) Plaintiff is wholly owned by Odorzx Inc. (Id. at ¶6.) The vehicle

that is the subject of this action is a 2024 Nissan Sentra with VIN:

3N1AB8BV7RY287753 and CA registration plate: 9LCN156 (“the subject vehicle”). (Id.

at ¶8.) Flex Drive Services, LLC (“Flex Drive”) is the owner of the subject

vehicle. (Id. at ¶9.) Flex Drive is a client of Odorzx; as a wholly

owned entity of Odorzx, Plaintiff operates as an agent for Flex Drive. (Id.

at ¶9.) Flex Drive authorized Plaintiff to recover the vehicle. (Id. at

¶11 and Exh. 7.) “[E]ach of the Defendants was the agent, servant, partner,

joint venturer, representative, servant, employee, managing agent, managing

supervisor, and/or coconspirator of the remaining Defendants.” (Id. at

¶17.)

On or about June 25, 2025, Defendants towed

the Subject Vehicle from 10960 Hoover St, Los Angeles, CA 90044 to Defendant

Kings Collision's operating location at 7523 S Western Ave, Los Angeles, CA

90047. (Id. ¶19.) A purported tow authorization document is attached,

but Plaintiff cannot trace the towing company, TowCo, that produced it. (Id.

at ¶20 and Exh. 10.) On information and belief, TowCo is an illegal and

unregistered towing enterprise. (Id. at ¶20.) Defendants and TowCo

conspired in a criminal enterprise to take custody, fraudulently obtain

possession, and convert the Subject Vehicle. (Id. at ¶22.) Defendants misrepresented their bona fides to the driver of the Subject Vehicle to fraudulently obtain possession of it. (Id. at ¶23.)

Defendants

demanded payment for purported “impounds/storage fees,” “tow/hook fees,” “forklift fees,” “in house hazmat clean up fees,” and “lien sale fees.” (Id. at ¶13 and ¶9.) Plaintiff tendered the fee in the amount of \$2,700.00. (Id. at ¶24.) The registered owner of the Subject Vehicle did not authorize these fees. (Id. at ¶25.)

Demurrer

to the First Amended Complaint

The Demurrer is not accompanied

by a meet and confer declaration as required by Code of Civil Procedure section 430.41. The Declaration of Demurring Party Regarding Meet and Confer filed by Defendants on July 2, 2026 details meet and confer efforts with respect to a First Amended Complaint served on Defendants on March 23, 2026. (Declaration, filed 07/02/26, Ekekeulu Decl., ¶¶2-7.) The declaration does not mention any meet and confer by the parties following service upon Defendants of the First Amended Complaint on May 22, 2026, which was different from the one served, but not filed, on March 23, 2026. (Ibid.) Although failing to meet and confer as required by Code of Civil Procedure section 430.41 is not grounds to overrule the Demurrer, it may be grounds to continue the hearing, place the matter off calendar, or strike the Demurrer for non-compliance with the statutory requirements. The parties are admonished that future non-compliance with the meet and confer mandate will result in the demurrer or other motion being stricken and the matter being taken off calendar.

Additionally, the memorandum of

points and authorities in support of the Demurrer exceeds the number of pages allowed by law. Cal. Rules of Court, rule 3.1113(d) limits the moving memorandum to 15 pages unless authorized by the Court, but Defendants have submitted 21 pages (pages 7 to 28). The Court, therefore, will limit its consideration of the Demurrer to the first 15 pages (pages 7 to 22).

The Demurrer is brought on the

grounds of Plaintiff's lack of standing / capacity to sue and failure to allege

facts sufficient to state a cause of action. (Citing Code Civ. Proc., § 430.10, subds. (a), (e).)

Lack
of Standing to Sue

Plaintiff's purported lack of standing is grounds for a general demurrer. A person who has no interest in the subject matter of an action, and therefore no right to relief, has no standing and cannot state a cause of action, so a general demurrer will be sustained. (*City of Industry v. City of Fillmore* (2011) 198 Cal.App.4th 191, 208 [citing *Parker v. Bowron* (1953) 40 Cal.2d 344, 351].)

The First Amended Complaint alleges that Flex Drive is the owner of the Subject Vehicle, and that Plaintiff is the authorized agent of Flex Drive. (FAC, ¶¶9-11 and Exh. 7.) Defendants argue that Plaintiff's agency was limited to paying retrieval fees and for retrieval of the vehicle. The language of the "hold harmless" letter sent from Flex Drive to Defendant Kings Collision which the FAC attaches as proof of Plaintiff's authorization to act supports this limitation on Plaintiff's agency, as follows: "It is our intention to retrieve the vehicle from your tow yard using our Authorized Agent Erik Zambrano to pay any related fees in order to recover and return the vehicle back into our possession." (FAC, Exh. 7, ¶12, emphasis added.) The scope of the agency conferred does not include the right to pursue legal claims. (See *Cohen v. TNP 2008 Participating Notes Program, LLC* (2019) 31 Cal. App. 5th 840, 856 ("agents ordinarily do not have 'a cause of action based upon some third person's violation of its principal's rights'") (citation omitted).) Even if it did, the letter does not make "Impound Compliance LLC" the authorized agent; it names an individual. Further, the reference to "our possession" demonstrates that Flex Drive asserted its right to possession of the Subject Vehicle, and was not assigning a right of possession to the authorized agent.

Therefore, the First Amended Complaint does not include allegations or incorporated exhibits that demonstrate Plaintiff's interest in the Subject Vehicle supports its right to bring the causes of action asserted therein. The Demurrer to the First Amended Complaint for Plaintiff's lack of standing is sustained.

Cause of Action for Contravention

of Cal. Veh. Code § 22524 and Cal. Veh. Code § 22658 – Excessive and Presumptively Unreasonable Charges

Defendants contend that Plaintiff has not alleged facts showing that Defendants charged excessive towing or storage fees, which is the basis for liability under Vehicle Code section 22658. At paragraph 35, the First Amended Complaint points to section 22658, subdivision (i)(1)(A), which provides:

A charge for towing or storage, or both, of a vehicle under this section is excessive if the charge exceeds the greater of the following:

(i) That which would have been charged for that towing or storage, or both, made at the request of a law enforcement agency under an agreement between a towing company and the law enforcement agency that exercises primary jurisdiction in the city...

(ii) That which would have been charged for that towing or storage, or both, under the rate approved for that towing operator by the Department of the California Highway Patrol for the jurisdiction in which the private property is located and from which the vehicle was, or was attempted to be, removed.

(Veh. Code, § 22658, subd. (i)(1)(A).) Plaintiff goes on to allege that in Los Angeles County, the rate set by law enforcement is \$195.00 for towing and \$60.00 per day. (Id. at ¶36.) However, it does not allege which law enforcement agency charges this rate, and between the law enforcement agency that exercises primary jurisdiction in the city and the rate approved for that towing operator by the Department of the California Highway Patrol, which rate is greater. Whether the rate charged by Defendants exceeds the greater rate, therefore, is not alleged, which is the basis for the statutory violation.

Additionally, Defendants argue that section 22658 is inapplicable to this action because it applies only when the owner or person in lawful possession of private property causes a vehicle to be removed. (Citing Cal. Veh. Code, § 22658, subd. (a).) The First Amended Complaint does not allege that the owner or person in lawful possession of private property caused the

Subject Vehicle to be towed.

Plaintiff also alleges that Vehicle Code section 22524.5 identifies as presumptively unreasonable charges any administrative or filing fees, except those incurred related to documentation from the Department of Motor Vehicles and those related to the lien sale of a vehicle, security fees, dolly fees, load and unload fees, pull-out fees, and gate fees. (FAC, ¶39, citing Veh. Code, § 22542.5, subd. (c)(3).) However, Plaintiff does not allege which of the charges by Defendants identified in paragraph 24 and Exhibit 12 of the First Amended Complaint it contends fall within these presumptively unreasonable charges. (Id. at ¶¶40-41.) The Demurrer for failure to allege liability under either of these statutes is sustained, as well as for lack of standing.

2nd

Cause of Action for Contravention

of Cal. Veh. Code § 22658 – Refusal to Accept Payment by Bank Debit or Credit Card

Defendants argue that the second cause of action fails to state a claim because it alleges that Defendants violated Veh. Code § 22658(k) by refusing to accept a credit card or debit card payment, whereas the statute requires that a person operating or in charge of a storage facility accept “a valid bank credit card or cash” for payment. (Citing Veh. Code, § 22658, subd. (k)(1)(emphasis added).) Although subdivision (k)(1) uses the disjunctive “or,” subdivision (k)(3) makes it a misdemeanor to refuse to accept a valid credit card or post the required notice that credit cards are acceptable means of payment. Reading these subdivisions together means that a storage facility must accept a valid credit card, otherwise the language of subdivision (k)(3) would not make sense.

Subdivision (o) affirms this construction, stating, “It is the intent of the Legislature in the adoption of subdivision (k) to assist vehicle owners or their agents by, among other things, allowing payment by credit cards for towing and storage services.” (Cal. Veh. Code § 22658(o)(1).) Plaintiff sufficiently alleges that payment by bank debit and credit card was refused by Defendants. (FAC, ¶46.)

However, it remains that Plaintiff has not alleged standing to assert this cause of action, as discussed above. The Demurrer is sustained for lack of standing.

3rd Cause of Action for Contravention of Cal. Civ.

Code § 3070

Civil

Code section 3070 states in relevant part:

Any person who improperly causes a vehicle to be towed or removed in order to create or acquire a lienhold interest enforceable under this chapter, or who violates subdivision (c), shall forfeit all claims for towing, removal, or storage, and shall be liable to the owner or lessee of the vehicle for the cost of removal, transportation, and storage, damages resulting from the towing, removal, transportation, or storage of the vehicle, attorneys' fees, and court costs.

(Civ.

Code, § 3070, subd. (d)(1), emphasis added.) Based on this statutory language, Defendants' Demurrer for lack of standing is again sustained.

4th Cause of Action for

Conversion

A

cause of action for conversion must allege (1) plaintiff's ownership or right to possession of the property; (2) defendant's wrongful act or disposition of property rights; and (3) damages. (Lee v. Hanley (2015) 61 Cal.4th 1225, 1240.) Defendants' Demurrer to the conversion cause of action reiterates the standing argument. As discussed above, the Court has determined that Plaintiff fails to sufficiently allege its standing with respect to the Subject Vehicle.

The

Demurrer to the fourth cause of action is sustained.

5th Cause of Action for

Intentional Misrepresentation

Defendants

demur to this cause of action for lack of particularity. This requires "pleading facts which 'show how, when, where, to whom, and by what means the representations were tendered.'" (Lazar v. Superior Court, 12 Cal. 4th

631, 645.) The First Amended Complaint attaches the specific communication from Defendant Kings Collision Center that is the alleged misrepresentation. On July 1, 2025, Ruki Adams, Manager of Defendant Kings Collision Center emailed Plaintiff the requested invoice and “signed tow authorization.” (FAC, ¶64 and Exh. 13.) However, the email does not state that “the towing, storage, and other fees charged were legitimate and that said charges were legally permissible” as Plaintiff alleges. (Ibid.) The First Amended Complaint, therefore, does not allege a misrepresentation regarding the legality of the charges in support of this cause of action.

The

Demurrer to the fifth cause of action is sustained on this ground and as to standing.

6th Cause of Action for Negligent

Misrepresentation; 7th Cause of Action for Unfair Competition in Violation of B&P Code 17200

Defendants’

arguments with respect to these causes of action and the liability of Defendant Adams individually are outside the page limit, as discussed above. The Court, therefore, will not address them. The

Demurrer is sustained as to these counts based on standing for the reasons discussed above.

Leave to Amend

Plaintiff bears the burden of

demonstrating what facts can be added to the pleading to correct the above defects. (See *Goodman v. Kennedy* (1976) 18 Cal.3d 335, 348.) Plaintiff, however, filed no opposition to the instant Demurrer and the Court accordingly denies leave to amend.

Conclusion

Defendants

Kings Collision Center, LLC’s and Azeez Adams’s Demurrer to the First Amended Complaint is sustained without leave to amend.

Defendants are to file and serve

a proposed judgment of dismissal within 20 days.

Moving party to give notice.